Sai Parenterals Ltd

Concall tracker report, filed under Q2 2027 (results for Jul-Sep 2026). Built from all three earnings calls held since listing.

1. Snapshot

A Hyderabad drug maker that does contract manufacturing (CDMO = it makes medicines for other companies under long contracts) for export, sells its own branded generics in India, and since November 2025 owns 74.6% of Noumed, an Australian company that holds drug approvals and supplies private-label medicines to big pharmacy chains there.

Number	Value	Plain read
Market value	about ₹2,220 cr	What the whole company is priced at on the market today.
Consolidated revenue FY26	₹381 cr	Sales for the year to March 2026, more than double the year before, but only because Noumed came in for four and a half months.
Consolidated revenue Q2 FY27	₹196 cr	This quarter's sales, up 9% on the June quarter. The first half is about half the full-year target.
EBITDA Q2 FY27 (operating profit before interest, tax, depreciation)	₹41 cr, 21.1% margin	About 21 paise of every rupee of sales left as operating profit, up from about 14 paise last quarter.
Profit after tax Q2 FY27	₹10.5 cr	Much smaller than operating profit because depreciation and amortisation jumped to ₹25 cr after the acquisitions.
Borrowings (30 Sep 2026)	₹357 cr, cash ₹129 cr	Debt rose from ₹320 cr in March as the Australian plant and Indian expansion are paid for. Management says this year is the debt peak.
Promoter holding	51.2%	The founder group owns just over half; unchanged since listing.

2. Concall coverage

Quarter	Date of call	Transcript read?
Q4 FY26 (first call as a listed company)	27 May 2026	Yes, in full
Q1 FY27	12 Aug 2026	Yes, in full
Q2 FY27	2 Nov 2026	Yes, in full

Only three calls exist because the company listed in early 2026. That's six months of promises, so the consistency read below is limited.

Latest concall highlights: Q2 FY27 (November 2026)

- Revenue ₹196 cr, up 9% on the quarter; first half ₹376 cr, just over half of the ₹750 cr full-year target. Management usually does more in the second half, so it's ahead of plan.
- Gross margin jumped from 40.9% to 47.5%. The company worked off costly old stock, put in strict first-in-first-out rules and a new ERP system. It says gross margin will stay above 45%.
- Guidance held and firmed up: "very, very comfortably crossing" ₹750 cr with EBITDA margin above 17%. A first FY28 guidance is promised on the next call.
- Both acquisitions closed: 60% of Saicriti Pharma (new injectable plant outside Hyderabad, target July 2027) and 60% of Prathyak Labs (R&D centre, renamed Sai Prathyak).

- Second big Australian contract renewed: Wesfarmers (Priceline) for three years at AUD 30m, on top of the AUD 202m EBOS deal from July. Adelaide plant slipped slightly to January commissioning, TGA licence inspection now in the second quarter of calendar 2027.

Business mix and capacity
Exports about 73% of Q2 revenue; India about 27% (contract manufacturing 73%, branded generics 27%). Within exports, Australia 76%, Philippines 16%, South Africa 4%. So roughly three-quarters of sales come from abroad, most of it Australia.
Capacity: overall utilisation not disclosed. The Unit III expansion at Bhongir lifts output from 85.5 million to 155 million units a month, starting December 2026, mostly for Australia.

3. Earning trigger thesis
The story is vertical integration. Noumed owns the drug approvals and the long contracts with Australian pharmacy chains, but today buys most of its products from outside contract makers. As Sai's expanded Indian plant and Noumed's own Adelaide plant come up, that outsourced volume moves in-house, turning a distributor's margin into a manufacturer's margin on revenue that's already contracted. On top sit the Saicriti injectable plant and the Sai Prathyak R&D unit, which only pay from FY28.

Trigger	What management said	Evidence so far	Time horizon	Strength
Australian contracts	EBOS renewed for 7.5 years at AUD 202m, Wesfarmers for 3 years at AUD 30m, with new products added each year	Both signed; contribution starts this year	Through 2033	Strong: signed revenue with two of Australia's biggest chains
Margin from in-house supply	Shift Noumed's outsourced products to Sai and Adelaide	Gross margin up sharply in Q2, but mostly from inventory cleanup, not yet from new plants	Q4 FY27 to FY28	Moderate: logic is sound, plants not running yet
Unit III expansion	Capacity up 81%, start Dec 2026	"Almost completed"	From Q4 FY27	Moderate: on time so far
Adelaide plant	Commission by Q4 FY27, TGA licence by March 2027	Slipped to January commissioning, licence inspection in calendar Q2 2027	FY28	Moderate: slipping a little
Saicriti injectables + Sai Prathyak R&D	EU-GMP injectable plant by July 2027; outside R&D contracts from next quarter	Deals closed; plant under construction	FY28-FY29	Unproven

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Debt rose to ₹357 cr; cuts only promised "from FY28" (Nov 2026).
New business	Yes	Sai Prathyak to sign outside R&D and CRO contracts from next quarter, revenue from FY28 (Nov 2026).
Margin up	Yes	"Gross margin was the hero of this quarter"; EBITDA margin 21.1% from 13.7% (Nov 2026).
New management	No	Senior management being added, no new CEO/MD/CFO.
New capacity	Yes	Unit III new block "will start commencing from December 2026", capacity up 81% (Nov 2026).

Big orders	Yes	EBOS AUD 202m and Wesfarmers AUD 30m supply contracts renewed (Aug and Nov 2026).
Turnaround	No	Not a turnaround; already profitable.
Promoter buying	No	Not mentioned.

Single concrete driver: moving Noumed's contracted Australian pharmacy supply from outside makers into Sai's own expanded Indian plant and the new Adelaide plant.

3c. Margin bridge

EBITDA margin went from about 14% in the March and June quarters to 21% in September. The jump came from gross margin: costly stock bought earlier was used up, tighter inventory rules and a new ERP stopped over-buying, and price revisions (which lag 90-120 days) finally passed through. Staff and other costs rose under 6%, so most of it reached operating profit. Management says the gross margin above 45% will hold. (lasting)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
May 2026	FY27 revenue ₹750 cr at about 17% EBITDA margin, split 45:55 across halves	First half did ₹376 cr at 17.6%; guidance reaffirmed twice	Delivered so far
May 2026	₹111 cr IPO money to upgrade Units I and II to EU-GMP; ₹18 cr new R&D centre	Plan dropped after a Telangana rule barred upgrades inside the Outer Ring Road; money moved to buy 60% of Saicriti and Prathyak	Changed, with a reason
May 2026	Adelaide plant TGA licence by 31 March 2027	Commissioning moved to January, licence inspection to calendar Q2 2027 (shipping disruption)	Partly (slipping)
Aug 2026	Air-freight cost hit is temporary; margins improve next quarter	EBITDA margin up to 21%	Delivered
Aug 2026	Prathyak deal closes by 30 September	Closed 15 September	Delivered
Nov 2026	FY28 guidance on next call; Sai Prathyak revenue guidance next call	Not yet due	Too early

Narrative drift: the core story (Australia contracts plus in-house supply, FY27 builds and FY28 earns) hasn't moved across three calls. What has moved is the how: the IPO plan was rewritten within months of listing, and the company keeps adding new things (US subsidiary, biosimilars and antibody drugs paper, SP Analytics buyout). The tone is confident. Two things to keep an eye on: receivables rose to about ₹250 cr and operating cash flow was negative in the half, which management calls end-of-quarter timing; and the CFO missed the latest call due to a health emergency.

5. Bottom line: two verdicts

Durable earning trigger? YES

There's a concrete, signed base: two long Australian pharmacy-chain contracts, and a clear plan to make those products in-house. The margin jump already showed up this quarter, though most of it came from cleaning up inventory rather than the new plants, which only start contributing from late FY27.

Management consistent? MAYBE

Six months of numbers have matched guidance and the deals closed on time. But the IPO plan was reworked soon after listing, Adelaide has slipped a bit, and the list of new projects keeps growing. Too short a record to say Yes.

6. Checkpoints for next quarter

- Unit III new block at Bhongir starts production in December
- Adelaide plant is commissioned in January
- Gross margin holds at the new higher level

Sources: earnings call transcripts of 27 May 2026, August 2026 and November 2026 (via Screener.in); Screener.in financial tables. Not investment advice.